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AN INSIGHT INTO THE EXPANDING GIG ECONOMY IN INDIA

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Abstract

In the current era, the global gig workforce exceeds 200 million individuals, driven by the emergence of technology-enabled gig work platforms. Factors such as technological advancements, internet proliferation, urbanization, and the recent impact of the Covid-19 pandemic have heightened employers' interest in envisioning "the future of work" over the past few decades. The term "gig economy" has become ubiquitous in today's corporate landscape, employing 6% of the global labor force, as reported by the World Bank. Notably, 36% of American workers engage in gig economy activities, and over 200 million people worldwide participate in freelancing to join the gig workforce. In India, reports indicate that there were 6.8 million gig workers in 2019–20, constituting 2.4% of the non-farm workforce and 1.3% of the overall workforce. Projections for 2020-21 suggest an increase to 7.7 million workers, comprising 2.6% of the nonagricultural workforce or 1.5% of the total workforce. The evolving landscape underscores the imperative of safeguarding employees' economic rights. If accompanied by assurances of dignified employment, India's gig economy could potentially offer a viable solution to its financial challenges.

***Keywords**:*
gig economy, employment, workers, freelancing

Introduction

Digital transformation has brought a drastic change in the economy in the last couple of decades; the digital economy has contributed to economic growth. Smartphone holders are rapidly increasing in both developed and as well as developing countries. A recent report said that around 500 million people are using smartphones in India alone. With the development of technology, the internet, rising urbanization, and most recently, the Covid-19 epidemic, employers have become increasingly interested in "the future of work" during the past few decades. One of the most frequently used phrases in today's corporate world is "gig economy." Although gig work has been around for a while (generally speaking, it refers to work delivered on-demand with little to no formal contracting), it has recently gained popularity thanks to the success of platform-based businesses like Uber (in ridesharing), Swiggy (in food delivery), and Urban Company (in personal services, home renovations and repair). Today, more than 200 million people are regarded as being a member of the gig workforce globally because to the rise of technology-enabled gig work platforms.

According to the World Bank Group's 2019 study on the "Changing Nature of Work," less than 0.5% of workers worldwide participate in the gig economy, and among this 0.3 percent of the labour force, 0.3 percent belongs to developing countries. NITI Ayog's 2022 report on 'India's Booming Gig and Platform Economy' states that, the proportion of gig workers has increased from 0.54 to 1.33 per cent in during 2011-12 to 2019-20 respectively. It clearly shows that the advancement of technology has enabled the emergence of temporary employees who are using online platforms to increase their employability and also focus on gig work.

What is Gig Economy?

The gig economy is a form of free market where businesses hire independent workers on a temporary basis and transitional positions are common. According to the Code on Social Security, 2020, a gig worker is a person who performs work or participates in work arrangements and earns from such activities, outside of the traditional employer-employee relationship.

Type of Gig Workers

Gig-workers are classified as platform-based and non-platform-based workers. Platform workers are independent contractors who interact with clients via websites or mobile applications that use algorithms to match users, such as Amazon or Uber. Platform workers are people whose positions depend on online resources like software or digital platforms. While location-based platforms permit on-site employment at specific locations, like delivery or transportation, location-based platforms allow workers to do online tasks for clients throughout the world. Non-platform workers are those who work on other platforms and typically include temporary workers who are not tech-based, construction workers, and day laborers. Non-platform gig workers often work part- or full-time as own-account and casual wage workers in the established sectors.

Characteristics of Gig Workers

In terms of several personal traits, gig workers appear to be different from traditional workers. The average gig worker has a low to middle level of education, is relatively young, prefers a flexible schedule, and works fewer hours each day on gigs. Their principal source of income is not from gig work, and they frequently hold another regular employment in addition to it. They value payments that are predictable, on time, and transparent; nevertheless, these workers do not find non-wage benefits to be alluring. In addition to these distinctive qualities, there are certain shared qualities. For instance, in order to balance their obligations to their families and their careers, women favour high-skill segments with flexible work hours. The gig economy is perceived as a second source of income by students. Likewise, a portion of the gig industry consists of college students looking for flexible schedules and part-time jobs.

Advantages of Gig Economy

- Increasing the effectiveness of large-scale labour and service identification and fulfillment
- Coordinating economic incentives between firms and employees to boost wages for workers while lowering "fixed" costs for employers
- Effective application of technology efficiency to satisfy customer need.
- Providing on-demand labour, even if firms are reluctant to hire people full-time, to spark economic recovery.
- Increasing labour participation, particularly for women and students who might only be able to work part-time to help with additional home expenses.
- Receiving additional advantages of "formalizing" labour markets, such as financial inclusion and social safety
- Workers can proportionately boost their overall pay by taking on more employment.
- Improving productivity overall by cutting down on wasted and idle time.

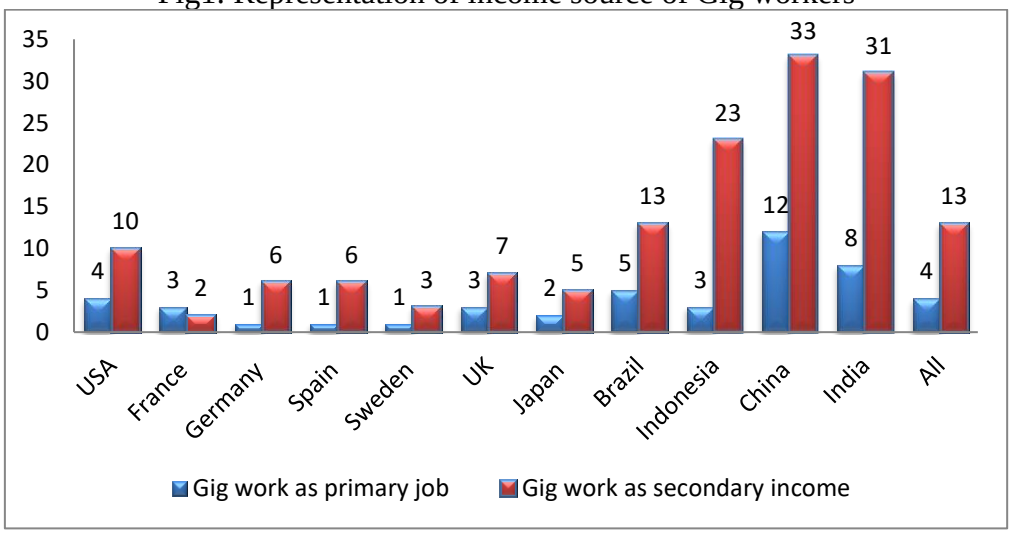
Gig Economy at Global Level` `

Despite the different definitions, it is nevertheless widely agreed that more people worldwide are utilizing "gig work" to supplement their full- and part-time employment every year. The gig economy employs 6% of the global labor force, as reported by the World Bank. According to estimates, 36 percent of American workers participate in the gig economy, and more than 200 million people worldwide use freelancing to join the gig workforce. "Gig work accounts for a sizeable portion of global economic output, with the gig economy accounting for just a small portion of the total USD 4.5 trillion in gross global output produced by non-traditional labor in 2019." This covers contributions made by independent freelancers, temporary agency employees, directly sourced temporary employees, and human "cloud workers" (BSG, Michael & Susan Dell Foundation, 2021). According to the Future of Workresearch project states that in developing countriesgig participation is high, which seems to be setting trend in shaping the future of jobs and the workforce.

The introduction of new occupations and skill sets, the expanding talent disparities, changes in governmental regulations, and changing perspectives on work itself are among the trends that have been taken into consideration. In developed markets like the United States of America (USA), Germany, Sweden, the United Kingdom (UK), and Spain, only one to four percent of workers on labor-

sharing platforms treat gig work as their main source of income, whereas 5 to 12 percent of workers in developing markets like China, India, and Brazil do so. (BSG, Michael &Susan Dell Foundation, 2021).In a similar manner, only about 10% of American workers use gig platforms as a secondary source of income, as opposed to 30% of workers in emerging economies like China and India.

Fig1: Representation of income source of Gig workers



The above graph clearly depicts that most of the workers are not merely depending on only the primary source of income as gig work but also many workers gained their income through gig work as a secondary source. Despite that in China, more workers are earning their income based on gig work as a secondary income, which means 33% are gig work as a secondary income and 12% have gig work as a primary job. In India, 31% of workers are having gig work as secondary income and only 8 % of workers are engaged in gig work as a primary job.

Gig Economy in India

The gig economy has the potential to generate around 90 million jobs, contributing to a 1.25 percent increase in India's GDP. Currently, non-farming industries in India employ a total of 290 million individuals, with 62 million in construction and real estate, 60 million in manufacturing and utilities, 47 million in retail, and 25 million in transportation and logistics. In contrast, approximately 210 million people are engaged in agriculture and related sectors.As per a 2020 study conducted by the Boston Consulting Group (BCG) and the Michael and Susan Dell Foundation, India currently hosts 8 million gig economy jobs. Projections suggest a potential increase to over 90 million jobs within the non-farm sector over the next 8 to 10 years, contributing to USD 250 billion in transactions, equivalent to 1.25% of India's GDP (BCG and Michael and Susan Dell Foundation, 2021).Along with 3 million jobs in shared services and eight million jobs meeting household demand, an additional 24 million positions could be converted to gig work (platform work) based on technology over the period of the next three to four years. According to a Fairwork study In India, eleven platforms are expected to employ more than 30 lakh people by 2024.

Additional studies reveal that out of the 2.1 million blue-collar jobs in India in 2019, approximately 1.4 million were part of the gig economy, based on data compiled by Betterplace using a sample set of 1.1 million person profiles from 1,000 job providers (Ganesh, 2019). The latest estimate, as of 2021, comes from ASSOCHAM and Primus Partners, stating that there are 15 million freelance workers involved in projects within the driving sectors of the gig economy. The report goes on to say that 64% of them are between the ages of 24-38. And, the study indicates that gig workers are most prevalent in the top metropolises of Delhi (2.25,000), Mumbai (1.33,000), Bengaluru (2.34,000), Pune (1.25,000), and Chennai (93,222) (ASSOCHAM & Primus Partners, 2021). (NITI Ayoga, 2022).

Extensive primary interviews were conducted with a range of businesses, encompassing large corporations as well as Medium, Small, and Micro Enterprises (MSMEs). These interviews aimed to

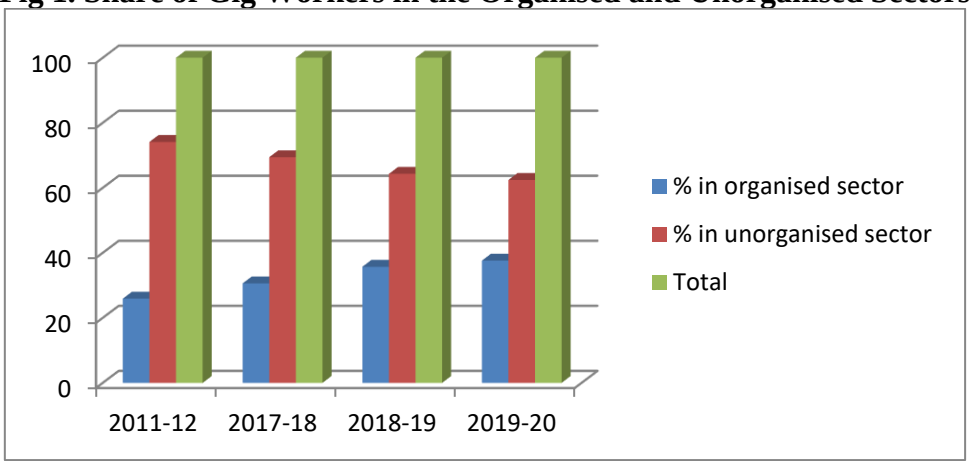
assess the gig economy's potential, identify areas of opportunity, and uncover barriers hindering the release of demand for gig work services.

Table 1: Share of gig workers in the organized and Unorganized Sectors

Year	% in organized sector	% in unorganized sector	Total
2011-12	25.9	74.1	100
2017-18	30.6	69.4	100
2018-19	35.7	64.3	100
2019-20	37.6	62.4	100

Source: NITI Ayoga 2022

Fig 1. Share of Gig Workers in the Organised and Unorganised Sectors



The above table shows a rising percentage of gig workers in the organised sector, which suggests that more of such workers are now employed by larger firms. The percentage increased from 26% in 2011–12 to 37.6% in 2019–20, and the unorganized sector's share decreased in lockstep.

The size of the gig economy in India

As indicated by the "India's Booming and Platform Economy 2022" report, the gig workforce in India amounted to 6.8 million in 2019–20, representing 2.4% of the non-farm workforce or 1.3% of the overall workforce. Projections for 2020-21 suggest an increase to 7.7 million gig workers, constituting 2.6% of the nonagricultural workforce or 1.5% of the total workforce in India.Anticipated for the year 2029–2030, the gig economy is projected to engage 23.5 million workers, contributing approximately 4.1% to India's total income and constituting 6.7% of non-agricultural employment. Segmenting gig workers by industry, the retail and sales sector is expected to employ around 2.7 million, while the transportation industry will engage about 1.3 million. In manufacturing, an estimated 0.6 million workers will be involved, with an additional 0.6 million in banking and insurance. Comparatively, between 2011–12 and 2019–20, the retail industry employed 1.5 million workers, the transportation sector 0.8 million, and manufacturing 0.4 million.

Gig Work Employment Elasticity

From 2011–12 to 2019–20, the employment elasticity of gig workers to GDP growth consistently surpassed that of the overall employment elasticity. The discernible pattern suggests a shift in the nature of economic growth, where the demand for gig workers increased without a proportional rise in demand for non-gig workers. This implies a growing likelihood of a transition from non-gig work to gig work in the future.

Year	Gig work Employment growth	GDP growth	Gig work Elasticity	All employment elasticity
2011-12 to 2017-18	13.020	7.046	1.848	-0.076
2017-18 to 2019-20	13.750	5.280	2.604	1.131

Source: NITI Ayoga, 2022

The above table shows that the rise in gig employment has been rising from 13.020 to 13.750 between 2011–12 and 2019–20, respectively. Additionally, it notes that the elasticity of gig work has increased from 1.848 to 2.604.

Challenges of Gig Economy

Although flexible and attractive, gig work has various drawbacks or difficulties, such as a lack of social security, a lack of support to develop in a job, the ambiguous or uncertain nature of employment, unstable policy support, etc. Some of them are mentioned in this.

Accessibility issues

The gig economy is open to everyone who is willing to participate in such employment because to the wide range of employment opportunities it offers, although access to internet services and digital technology can be a limiting issue.

Income and employment instability

Similar to practices in other nations, platform workers in India commonly receive compensation on a piece-rate basis, i.e., per task. Platforms typically classify them as either "driver/delivery partners" or "independent contractors." Consequently, the existing labor laws pertaining to wages, working hours, working conditions, and the ability to engage in collective bargaining are not favorable to these workers (Fairwork 2020).

Occupational Safety and Health Risks

Global surveys by the International Labour Organization (ILO) focusing on freelance platforms highlight various occupational safety and health challenges affecting workers, particularly women, within the taxi and delivery app sectors. Approximately 83% of employees in these industries expressed safety concerns related to their jobs, often associated with road safety, theft, and physical assault. In the app-based delivery sector, a notably elevated percentage of respondents from India, Mexico, and Morocco (primarily men due to the limited presence of women in this field in these countries) reported instances of discrimination or harassment (ILO 2021).

Mismatch in Attributes

ILO surveys reveal that "workers with higher educational accomplishments are not always finding work commensurate with their skills. Fewer respondents on web-based survey platforms by gender reported having more skills than were required for the activity. The skills gap is especially evident for those working on microtask platforms, where many (57%), many of whom have a STEM (science, technology, engineering, and medicine) specialisation, perform tasks like taking part in experiments and surveys, accessing content, gathering data, etc. that typically require few or no specialised skills.

Solutions to overcome challenges in the gig economy

Some answers can be suggested here in order to discover solutions for the difficulties faced by gig workers.

- Expand the availability of institutional loans for platform users and those planning on starting their own platforms.
- Through the Social Security Code, the government can guarantee that the all platform workers receive benefits.
- Skill development of youth and workforce to make them employable
- Supporting Small Businesses and Entrepreneurs Linked to Platforms.
- Priority Sector Lending is the term that may be used to indicate unsecured loans made to first-time borrowers in the platform economy.

Policy solutions

There isn't much recognition of gig workers in the present labour regulations. As previously indicated, the Building and Other Construction Workers (Regulation of Employment and Conditions of Service) Act 1996, the CLRA, and UWSSA all have provisions that to some extent control the welfare of migrant workers, building and construction workers, and unorganised workers.These rules, however, were not created to address the needs of modern gig workers, such as platform employees. Platform

employees are not eligible for any benefits under any labour laws, including those governing contract work. Even if the concept of "contract labour" allowed for the expansion of CLRA to platform workers, these benefits are not supplied to such workers by the platforms (MalavikaRajkumar, 2022).Millions of working families in India benefit from platform work, which combines the regularity of official employment with the flexibility of hours and the assurance of a high income. As such, platform work deserved its own category, which The Code on Social Security, 2020 has duly filled.

Despite the fact that gig workers are not recognised by the law, some Indian businesses, including BigBasket, Flipkart, and Urban Company, made a pledge in 2021 to assure that all gig workers on their platforms receive at least the local minimum wage per hour after accounting for their associated costs (Fairwork 2021).In addition, the Indian government created e-SHRAM, a web-based portal, to expand the benefits of social security programmes to gig and platform workers as well as migrant workers, construction workers, and other non-traditional workers. This was done to create a National Database of Unorganized Workers and to maximiseunorganised workers' employability.

Conclusion:

As discussed above, according to projections, up to 90 million jobs could move to technology-enabled gig platforms, potentially contributing up to 9% of India's GDP in the form of gig employment over time, or an additional 1.25 percent to the nation GDP. The benefits of the gig economy to India may be much greater once the concomitant advantages of formalizing unregistered labour and financial inclusion are taken into account. The low entry barriers for gig and platform jobs in India can lower the unemployment rate. However, given the informal nature of work, which does not permit for fair salary and employee benefits, this may not be the case. Thus, it is now very clear that protecting employees' economic rights is necessary. India's gig economy may offer a viable remedy to its financial problems if respectable jobs are assured.

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